

In addition to the above quantitative tests, the investor should be satisfied in his own mind that the location and type of the building are such as to attract tenants and to minimize the possibility of a large loss of value through unfavorable changes in the character of the neighborhood.⁸

Real estate loans should not be made on buildings erected for a special or limited purpose, such as hotels, garages, etc. Commitments of this kind must be made in the venture itself, considered as an individual business. From our previous discussion of the standards applicable to a high-grade industrial-bond purchase, it is difficult to see how any bond issue on a new hotel, or the like, could logically be bought on a straight investment basis. All such enterprises should be financed at the outset by private capital, and only after they can show a number of years of successful operation should the public be offered either bonds or stock therein.⁹

⁸ Footnote to 1934 edition: "One of the few examples of a conservatively financed real estate-bond issue extant in 1933 is afforded by the Trinity Buildings Corporation of New York First 5¹/₂s, due 1939, secured on two well-located office buildings in the financial district of New York City. This issue was outstanding in the amount of \$4,300,000, and was secured by a first lien on land and buildings assessed for taxation at \$13,000,000. In 1931, gross earnings were \$2,230,000 and the net after depreciation was about six times the interest on the first-mortgage bonds. In 1932, rent income declined to \$1,653,000, but the balance for first-mortgage interest was still about 3¹/₂ times the requirement. In September 1933 these bonds sold close to par."

This footnote and the sequel well illustrate the importance of the location factor referred to in the text. Despite the improvement in general business conditions since 1933, the lessened activity in the financial district resulted in a loss of tenants and a severe decline in rental rates. The net earnings of Trinity Building Corporation failed even to cover depreciation charges in 1938 and were less than interest charges, even ignoring depreciation; principal and interest were defaulted at maturity in 1939; the guarantee by United States Realty and Improvement Company, the parent enterprise, proved inadequate; and the holders were faced with the necessity of extending their principal and accepting a reduction in the fixed coupon rate. In this instance an undoubtedly conservative financial set-up (a *quantitative* factor) did not prove strong enough to offset a decline in the rental value of the neighborhood (a *qualitative* factor).

⁹ The subject of guaranteed real estate mortgage issues is treated in Chap. 17.

See Chapter 11, "Specific Standards for Bond Investment (*Continued*)"; Chapter 12, "Special Factors in the Analysis of Railroad and Public-Utility Bonds"; Chapter 13, "Other Special Factors in Bond Analysis"; Chapter 14, "The Theory of Preferred Stocks."; Chapter 15, "Technique of Selecting Preferred Stocks for Investment"; and Chapter 16, "Income Bonds and Guaranteed Securities" online at www.mhprofessional.com/SecurityAnalysis7.